



Topline performance (standalone) was in line with our estimates with Lifestyle growing 45% YoY (+34% Pre-Covid) but the operating margins were 90bps below our estimates contributed majorly by a sharp dip in the other business (which includes innerwear).

OUTLOOK

- H2FY23 is expected to be better than H1FY23 || Overall business poised to reach 25000 crs revenue in the next 2-3 years
- Ethnic business run-rate expected to reach from Rs 1.5bn to Rs 2bn by next year
- Premium performing better than mass
- Inner-wear business targeted to reach Rs 10bn revenue from Rs 5bn currently_
- PAT would have been 2x excluding IND-AS impact since store openings was very high
- Capex H1FY23 = Rs 3bn will cross ~Rs 7bn for full year

Key Financial Highlights

- Revenue at 29528 mn, + 6.45% qoq/+48% yoy
- EBITDA at 4435 mn, -6.6% qoq/+40.9% yoy
- PAT at 801 mn, -35.2% qoq/+468.7% yoy. Ex of IND AS PAT would have been 2Xx`
- EBITDA margin at 15.02%, -211bps qoq/-75bps yoy
- Net debt at ~2430 mn (incl GIC investment)

Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	353	7

Market data

Current price	Rs	329
Market Cap (Rs.Bn)	(Rs Bn)	312
Market Cap (US\$ Mn)	(US\$ Mn)	3,767
Face Value	Rs	10
52 Weeks High/Low	Rs	360 / 221
Average Daily Volume	('000)	1,035
BSE Code		535755
Bloomberg		ABFRL.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	56.08	56.09
Public	43.40	43.42
Total	100.0	100.0

Source: Bloomberg

Financial Summary

Y/E Mar (Rs mn)	FY20*	FY21*	FY22*	FY23E*	FY24E*
Net sales	87,425	51,811	78,242	111,549	126,932
Adjusted net profit	(1,439)	(6,496)	(807)	3,302	3,947
EPS (Rs) (post dilution)	(2)	(7)	(1)	3	4
growth (%)	NA	351	(88)	(509)	20
P/E (x)	NA	(46)	(382)	94	85
P/B (x)	23	11	11	9	6
EV/EBITDA (x)	25	56	32	20	18
D/E	2	0.4	0.4	0.5	0.1
RoCE (%)	12	(7)	6	15	14
RoE (%)	(13)	(24)	(3)	9	7

*- Post IND-AS 116

Source: Company, Dalal & Broacha Research

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Segmental Highlights

Particulars Rs Mns	Q2FY23	Q2FY22	YoY	Q1FY23	QoQ
A. Madhura Segment Total	19,870	13,910	43%	18,020	10%
1. Madhura LifeStyle	16,800	11,560	45%	15,200	11%
2. Other Madhura which includes innerwear	3,070	2,350	31%	2,820	9%
B. Pantaloon	10,940	6,650	65%	10,270	7%
Less Eliminations:	(1,280)	(600)		(550)	
Total	29,530	19,960	47.95%	27,740	6%
EBIDTA Margins					
A. Madhura Segment Total	14.7%	15.2%		16.0%	
1. Madhura LifeStyle	17.0%	16.3%		17.5%	
2. Other Madhura which includes innerwear	2.0%	10.2%		8.2%	
B. Pantaloon	16.1%	18.8%		21.2%	
Madhura LifeStyle Mix					
Wholesale	4,620	2,580	79%	3,150	47%
Retail	7,340	5,060	45%	7,930	-7%
Others	4,850	3,920	24%	4,120	18%

Concall KTA's

A. TOTAL MADHURA SEGMENT

1. Madhura Lifestyle Brand

- Best quarter for the branded portfolio, revenue grew 45% YOY (34% over pre covid level)
- L2L retail growth of 27%
- Strong traction in the women's and kids wear business portfolio - best quarterly revenue
- Handbag and footwears posted strong growth forming ~40% share of women's business
- Total of 550 stores across brands in small towns
- The growth was driven by premiumisation and casualization
- E-commerce sales saw a growth of 18% YoY
- Retail revenue grew by 82% in Q2FY23 over pre-COVID levels led by strong 32% LTL growth and aggressive retail expansion
- The margins saw a slight dip is due to the mix of online shopping higher in the current quarter

2. Other Business(including Innerwear)

- Innerwear and Athleisure segment achieved 27% growth YoY. 1400 new trade outlets and 31 retail outlets added. Business grew to 1.9x of pre-COVID levels.
- Investments in H2FY23 in the innerwear segment to increase. Target is to cross 1000 crores in the innerwear segment in next 2-3 years.

- Youth fashion segment – American eagle saw the highest ever quarterly revenue. American eagle and Forever21 combined have shown a growth of 50% YoY
- Super premium brands saw 35% YoY revenue growth. E-commerce saw a 100% growth YoY
- Forayed into kids inner wear category

B. Pantaloons

- Achieved highest ever quarterly revenue led by strong EOSS & Pujo performance
- E-commerce sales grew 21% YoY due to strong demand during festivities
- EBITDA margins have exceeded pre covid levels due to sharp reduction in markdown and better value realisations
- Aggressive network expansion for the quarter with net addition of 21 stores to the network.
- EOSS full impact was seen in the current quarter.
- The private labelling is currently not as per targets but once it starts ramping up, improvement in gross margins will be seen gradually.

C. Ethnic Subsidiaries

- Grew ~ 90% YoY (9x over pre-COVID), driven by both network expansion and category extensions.
- Jaypore - Revenue witnessed ~80% growth YoY over LY, Offline revenue reaching to more than 5x of LY. Continued store expansion journey with network reaching 13 stores.
- Shantanu and Nikhil - Revenue grew to 1.5x of LY. Continuous investment in strengthening brand equity and visibility
- Sabyasachi - Revenue grew by 60% over LY. Opened first international EBO in New York
- Tasva - Launched 9 stores in Q2FY23 taking total count to 21. All set to end the year with ~70 stores. Onboarding franchisee to accelerate asset light expansion.
- Quarterly runrate of 100 crores to cross 150 crores in the next year or so.

D. Masaba

- Revenue almost doubled over LY
- Launched its Beauty and personal care line under the brand Lovechild

E. Reebok

- Financials to be integrated from subsequent quarter
- Plan 15 stores expansion during H2 FY23

Quarterly Financial Highlights

Particulars Rs Mns (Standalone)	Q2FY23	Q2FY22	YOY	Q1FY23	QOQ
Revenue from Operations	29,528	19,960	47.9%	27,740	6.45%
Other Income	214	222	-3.47%	287	-25.40%
Total Income	29,742	20,182		28,027	
COGS	13,592	9,463	43.64%	12,522	8.55%
<i>% of sales</i>	<i>46.03%</i>	<i>47.41%</i>		<i>45.14%</i>	
Employee Benefit Expense	3,284	2,593	26.68%	3,021	8.71%
<i>% of sales</i>	<i>11.12%</i>	<i>12.99%</i>		<i>10.89%</i>	
Other Expenses	6,218	4,248	46.37%	5,381	15.56%
<i>% of sales</i>	<i>21.06%</i>	<i>21.28%</i>		<i>19.40%</i>	
Rent	1,998	510		2,065	
<i>% of sales</i>	<i>6.77%</i>	<i>2.56%</i>		<i>7.44%</i>	
Total expenses	25,093	16,814	49.24%	22,989	9.15%
<i>% of sales</i>	<i>84.98%</i>	<i>84.24%</i>		<i>82.87%</i>	
EBITDA excluding other income	4,435	3,147	40.94%	4,751	-6.65%
<i>EBITDA MARGINS</i>	<i>15.02%</i>	<i>15.76%</i>		<i>17.13%</i>	
EBITDA including other income	4,649	3,368	38.02%	5,038	-7.72%
<i>EBITDA Margins</i>	<i>15.63%</i>	<i>16.69%</i>		<i>17.97%</i>	
Depreciation	2,654	2,311	14.84%	2,518	5.39%
EBIT	1,995	1,058		2,520	
Finance costs	944	860	9.70%	888	6.34%
Exceptional items					
PBT reported	1,051	197	432.84%	1,632	-35.59%
Tax Expense	250	56		396	
<i>Tax Rate</i>	<i>24%</i>	<i>29%</i>		<i>24%</i>	
Adjusted PAT	801	141	468.70%	1,236	-35.16%
<i>NPM</i>	<i>2.69%</i>	<i>0.70%</i>		<i>4.41%</i>	
Equity	9487	9375		9384	
Face Value	10	10		10	
Number of Shares	949	938		938	
Basic EPS Calculated	0.84	0.15		1.32	

Valuation and Outlook

Particulars (Rs. Bn)	FY24
Lifestyle Business	
Sales	67389
EBITDA	12147
Margins	18.0%
EV/EBITDA (x)	19
EV	230794
Pantaloons	
Sales	46143
EBITDA	7383
Margins	16%
EV/EBITDA (x)	16
EV	118126
Other Business	
Sales	13400
EV/Sales (x)	2
EV	26801
Ethnic wear	
Sales	5686
EV/Sales (x)	2
EV	11372
Total EV	387093
Debt + Lease Liability	37570
Cash	8363
Equity Value	357886
No of shares (fully diluted)	1014
Per share	353
CMP	329
Upside (%)	7%

With an encouraging start to the festive season, ABFRL remains optimistic about the overall consumption going forward. H2FY23 is expected to be better than H1FY23.

Discretionary consumption remains strong at premium end.

Office and occasion wear gaining traction is positive for ABFRL's portfolio.

The company is poised to grow from a topline of Rs 80bn in FY20 to approx Rs 250bn by FY27.

We change our recommendation **from Buy to ACCUMULATE** from long-term perspective with revised target price of Rs 353 *(Our previous target price of Rs 322 as per Q1FY23 update has already been achieved)*

FINANCIALS

P&L (Rs mn) Standalone	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	87,425.3	51,811.4	78,242.0	111,549.5	126,932.1	Net Profit	(1,439.0)	(6,496.2)	(807.1)	3,302.3	3,947.1
						Add: Dep. & Amort	8,768.2	9,450.0	9,468.5	10,776.8	12,464.2
						Minority Interest	-	-	-	-	-
Cost of sales	75,171.6	45,868.1	67,447.2	93,897.5	107,052.9	Cash profits	7,329.2	2,953.8	8,661.4	14,079.1	16,411.3
Operating Profit	12,253.7	5,943.3	10,794.8	17,651.9	19,879.1	(Inc)/Dec in					
Depreciation	8,768.2	9,450.0	9,468.5	10,776.8	12,464.2	-Sundry debtors	(536.0)	2,402.9	(1,545.0)	(3,211.5)	(1,483.2)
PBIT	3,485.5	(3,506.7)	1,326.3	6,875.1	7,414.9	-Inventories	(4,281.2)	6,064.7	(9,863.0)	(11,618.3)	(5,365.7)
Other income	650.9	726.4	940.9	1,066.4	1,090.9	-Loans/advances	(20.5)	14.7	(13.9)	(556.1)	(36.8)
Interest	4,227.3	4,983.9	3,401.9	3,526.6	3,228.9	'-Current Liab and Provisions	(2,210.5)	(3,208.2)	14,439.2	9,391.9	6,660.2
						'- Other Assets	(572.7)	(1,808.8)	(1,849.3)	(2,256.8)	(1,358.9)
Profit before tax	(90.9)	(7,764.2)	(1,134.8)	4,414.9	5,276.9	'- Non Current security Deposit	(277.3)	(47.5)	(38.3)	(151.5)	(307.3)
Exceptional and Extra Ordinary share of profit/loss in JV	-	-	-	-	-	Change in working capital	(7,898.2)	3,417.8	1,129.7	(8,402.2)	(1,891.7)
PBT (Post Extra Ordinary)	(90.9)	(7,764.2)	(1,134.8)	4,414.9	5,276.9	CF from Oper. activities	(569.0)	6,371.6	9,791.1	5,676.9	14,519.6
Provision for tax	1,348.1	(1,268.0)	(327.7)	1,112.5	1,329.8	CF from Inv. activities	(7,009.3)	(17,411.1)	(14,034.4)	(13,713.9)	(12,575.5)
Reported PAT	(1,439.0)	(6,496.2)	(807.1)	3,302.3	3,947.1	CF from Fin. activities	9,654.9	10,034.2	3,677.2	8,626.0	4,750.3
MI	-	-	-	-	-	Cash generated/(utilised)	2,076.6	(1,005.4)	(566.1)	588.9	6,694.4
Adjusted PAT	(1,439.0)	(6,496.2)	(807.1)	3,302.3	3,947.1	Cash at start of the year	574.1	2,650.7	1,645.4	1,079.2	1,668.2
						Cash at end of the year	2,650.7	1,645.4	1,079.2	1,668.2	8,362.6
Balance Sheet	FY20	FY21E	FY22	FY23E	FY23E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	7,739.8	9,150.5	9,382.9	9,485.1	10,143.1	OPM	14.0	11.5	13.8	15.8	15.7
Reserves	3,119.2	17,695.3	19,438.5	25,588.7	47,877.8	NPM	(1.6)	(12.4)	(1.0)	2.9	3.1
Net worth	10,859.0	26,845.8	28,821.4	35,073.7	58,020.8	Tax rate	(1,483.1)	16.3	28.9	25.2	25.2
Minority Interest	-	-	-	-	-	Growth Ratios (%)					
Non Current Liabilities	29,259.3	29,642.0	31,202.7	36,892.4	30,542.0	Net Sales	7.7	(40.7)	51.0	42.6	13.8
Current Liabilities	56,771.3	39,913.8	55,989.9	69,139.6	72,039.8	Operating Profit	121.2	(51.5)	81.6	63.5	12.6
CAPITAL EMPLOYED	96,889.6	96,401.6	116,014.0	141,105.7	160,602.7	PBIT	28.3	(200.6)	(137.8)	418.4	7.9
Non Current Assets	55,380.7	60,904.1	65,844.5	75,517.2	80,381.7	PAT	(144.8)	351.4	(87.6)	(509.2)	19.5
Fixed Assets	29,123.5	26,813.6	29,529.2	36,706.5	40,957.1	Per Share (Rs.)					
Non Current Investments	1,700.1	6,895.3	8,351.2	9,893.7	9,893.7	Net Earnings (EPS)	(1.9)	(7.1)	(0.9)	3.5	3.9
Non Current tax assets	222.5	215.5	203.8	203.8	203.8	Cash Earnings (CPS)	(13.2)	3.2	9.2	14.8	16.2
Long Term Loans and Advances	34.3	25.9	36.3	585.6	614.9	Dividend	-	-	-	-	-
Other NON Current Assets	764.8	2,108.1	2,521.3	2,773.4	3,050.8	Book Value	14.0	29.3	30.7	37.0	57.2
Goodwill	18,596.0	18,596.0	18,596.0	18,596.0	18,596.0	Free Cash Flow	(9.8)	(12.1)	(4.5)	(8.5)	1.9
Deferred Tax Assets	1,949.6	3,212.3	3,531.0	3,531.0	3,531.0						
Security Deposits	2,989.9	3,037.4	3,075.7	3,227.2	3,534.5						
Current Assets	41,508.9	35,497.5	50,169.5	65,588.5	80,220.9	Valuation Ratios					
Current investments	-	2,995.3	5,374.2	3,363.0	3,363.0	P/E(x)	(177.0)	(46.3)	(382.5)	94.5	84.5
Inventories	23,494.0	17,429.3	27,292.3	38,910.6	44,276.3	P/B(x)	23.4	11.2	10.7	8.9	5.8
Trade Receivables	8,401.9	5,999.0	7,544.0	10,755.5	12,238.6	EV/EBIDTA(x)	24.5	56.3	32.0	20.3	18.3
Cash and Bank Balances	2,650.7	1,645.4	1,079.2	1,668.2	8,362.6	Div. Yield(%)	-	-	-	-	-
Short Term Loans and Advances	71.2	64.9	68.4	75.2	82.8	FCF Yield(%)	(3.0)	(3.7)	(1.4)	(2.6)	0.6
Other Current Assets	6,891.1	7,363.6	8,811.4	10,816.0	11,897.6	Return Ratios (%)					
Capital Deployed	96,889.6	96,401.6	116,014.0	141,105.7	160,602.7	ROE	-13%	-24%	-3%	9%	7%
ROA	(1.5)	(6.7)	(0.7)	2.3	2.5	ROCE	12%	-7%	6%	15%	14%

Source: Company, Dalal & Broacha Research

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